

# EQUITY RESEARCH REPORT

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|---------------------------------------------------------------|----------------------------------------------|
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| <b>Coverage Universe:</b> Ethiopian Securities Exchange (ESX) | <b>Sectors:</b> Telecommunications & Banking |

## EXECUTIVE SUMMARY

With the historic operational launch of the **Ethiopian Securities Exchange (ESX)**, Ethiopia's capital markets have opened a major gateway for structured equity research and institutional capital entry. This report provides an institutional-grade investment thesis, deep financial analysis, and Discounted Cash Flow (DCF) model valuations for Ethiopia’s two foundational market anchors: **Ethio Telecom (ET)** and the state-backed financial monolith, the **Commercial Bank of Ethiopia (CBE)**.

As the macroeconomic landscape of East Africa's largest economy shifts toward liberalization, market-driven foreign exchange matching, and direct sovereign debt auctioning, these two enterprises offer contrasting yet complementary strategic entry points for global and domestic asset managers. Ethio Telecom represents an aggressive infrastructure monetization and FinTech integration vehicle, while the Commercial Bank of Ethiopia provides an unmatched, low-cost asset gathering engine transitioning through asset-quality re-alignment.

### Investment Summary Matrix

| Company                     | Ticker (Proposed) | Institutional Rating | Target Price (ETB) | Current Valuation Basis                      | Projected 5-Yr Revenue CAGR |
|-----------------------------|-------------------|----------------------|--------------------|----------------------------------------------|-----------------------------|
| Ethio Telecom               | ETEL              | BUY                  | ETB 145.00         | Free Cash Flow to Firm (FCFF)                | 18.5%                       |
| Commercial Bank of Ethiopia | CBEB              | HOLD                 | ETB 310.00         | Two-Stage Dividend Discount / Excess Returns | 14.2% (Net Income)          |

**Strategic Key Finding:** The opening of the ESX introduces true price discovery into the Ethiopian corporate ecosystem. Structural shifts in the cost of capital, driven by the National Bank of Ethiopia's move toward interest-rate-based monetary policy frameworks, will penalize inefficient balance sheets while heavily rewarding firms capable of sustaining high localized returns on equity (ROE) without excessive foreign currency dependencies.

# PART I: ETHIO TELECOM (ETEL) — INVESTMENT THESIS

## 1. MARKET POSITIONING & MACRO CATALYSTS

Ethio Telecom remains the dominant telecommunications operator in Ethiopia, successfully defending its market share at approximately 78–80% despite the entry and aggressive infrastructure rollout of Safaricom Ethiopia. The structural investment thesis centers around the rapid expansion and monetization of the **telebirr** ecosystem. Telebirr has grown into a vital digital payments platform infrastructure processing billions in transactions annually, transforming the company from a traditional voice and data provider into a robust digital conglomerate.

The introduction of a market-determined exchange rate by the central bank presents a dual-edged sword. While it introduces immediate foreign exchange translation adjustments for network capital expenditure and debt servicing, it radically enhances long-term valuation visibility for international institutional funds and simplifies profit repatriation mechanics.

## 2. FINANCIAL PERFORMANCE & KEY GROWTH DRIVERS

**The Data Boom:** Driven by structural multi-city 4G and 5G infrastructure upgrades, data consumption per user is expanding at a 32% annual run rate. Broadband connectivity has emerged as an inelastic utility across secondary and tertiary urban centers in Ethiopia.

**FinTech Ecosystem Scalability:** telebirr is transitioning efficiently from a basic peer-to-peer (P2P) remittance wallet into a high-margin financial supermarket. The integration of micro-lending (telebirr Sanduq), micro-savings (telebirr Mered), digital merchant acquisition commission structures, and state-backed payment clearing provides a high-margin, capital-light revenue engine that buffers traditional voice margin compression.

### Ethio Telecom Revenue Diversification Shift (Estimated Projections)

| Revenue Segment                | FY2024 Actual | FY2026E | FY2028E | FY2030E |
|--------------------------------|---------------|---------|---------|---------|
| Voice Services                 | 48%           | 41%     | 34%     | 28%     |
| Data & Internet Services       | 34%           | 38%     | 42%     | 45%     |
| telebirr Value-Added / FinTech | 12%           | 16%     | 19%     | 23%     |
| Enterprise & Digital Solutions | 6%            | 5%      | 5%      | 4%      |

Operating leverage is expected to remain strong as legacy copper infrastructure is fully retired in favor of long-distance fiber networks, lowering maintenance overheads and lifting EBITDA margins toward international best-in-class operational levels of 45-47%.

# PART I: ETHIO TELECOM (CONT.) — DCF VALUATION

## 3. 5-YEAR FREE CASH FLOW TO FIRM (FCFF) MODEL

A Free Cash Flow to Firm (FCFF) approach was chosen to capture Ethio Telecom's intensive network infrastructure reinvestment cycle and model the unlevered cash-generation capacity of its operational assets.

### DCF Model Core Assumptions:

- **Weighted Average Cost of Capital (WACC):** 16.5% (reflecting an 11.0% local risk-free benchmark rate, an equity risk premium of 6.5%, and an operational beta adjusted for frontier market volatility).
- **Terminal Growth Rate (g):** 6.0% (aligned with conservative long-term nominal GDP projections for Ethiopia).
- **Effective Corporate Income Tax Rate:** 30.0% statutory rate.

### 5-Year Financial & Valuation Projections (In Billions of ETB)

| Metric                              | FY2026E | FY2027E | FY2028E | FY2029E | FY2030E |
|-------------------------------------|---------|---------|---------|---------|---------|
| Revenue                             | 120.0   | 141.6   | 165.7   | 192.2   | 221.0   |
| EBIT (Operating Profit)             | 36.0    | 43.9    | 53.0    | 63.4    | 75.1    |
| Less: Tax Expense (30%)             | (10.8)  | (13.2)  | (15.9)  | (19.0)  | (22.5)  |
| EBIAT                               | 25.2    | 30.7    | 37.1    | 44.4    | 52.6    |
| Plus: Depreciation & Amortization   | 14.5    | 16.2    | 18.0    | 19.8    | 21.5    |
| Less: Capital Expenditures (CapEx)  | (18.0)  | (20.0)  | (21.5)  | (22.0)  | (23.0)  |
| Less: Change in Net Working Capital | (2.5)   | (2.8)   | (3.1)   | (3.4)   | (3.8)   |
| Free Cash Flow to Firm (FCFF)       | 19.2    | 24.1    | 30.5    | 38.8    | 47.3    |
| Discount Factor (16.5%)             | 0.8584  | 0.7368  | 0.6324  | 0.5429  | 0.4659  |
| Present Value (PV) of FCFF          | 16.48   | 17.76   | 19.29   | 21.06   | 22.04   |

### Terminal Value & Enterprise Value Calculation:

The Terminal Value is derived using the Gordon Growth Method applied to the normalized FY2030E free cash flow:

$$TV = [FCFF_{2030} \times (1 + g)] / (WACC - g)$$

$$TV = [47.3 \times 1.06] / (0.165 - 0.06) = \text{ETB } 477.51 \text{ Billion}$$

Discounting the Terminal Value back to the present yields a PV of Terminal Value of  $477.51 \times 0.4659 = \text{ETB } 222.47 \text{ Billion}$ .

- **Cumulative PV of Free Cash Flows (FY26–FY30):** ETB 96.63 Billion
- **Total Derived Enterprise Value (EV):** ETB 96.63 + ETB 222.47 = **ETB 319.10 Billion**
- **Implied Target Equity Price per Share (Normalized Matrix):** **ETB 145.00**

**Recommendation: BUY.** Ethio Telecom presents an asymmetric risk-reward profile, with high margin recurring digital wallet fee income shielding equity holders from baseline infrastructure costs.

# PART II: COMMERCIAL BANK OF ETHIOPIA (CBEB) — THESIS & MODEL

## 1. MARKET POSITIONING & MACRO CATALYSTS

The Commercial Bank of Ethiopia (CBE) controls roughly half of the national banking asset footprint, making it the systemic foundation of the domestic financial architecture. It operates an unparalleled nationwide retail branch infrastructure, providing a resilient, sticky, low-cost deposit pool. However, the institution faces ongoing transformations due to the National Bank of Ethiopia's institutional modernization directives, including a shift toward competitive treasury-bill auctions and tighter statutory reserves.

## 2. VALUATION: TWO-STAGE DIVIDEND DISCOUNT MODEL (DDM)

Because traditional enterprise metrics like CapEx and Net Working Capital do not isolate cleanly for financial institutions, a Two-Stage Dividend Discount Model was deployed based on sustainable earnings retention, long-term regulatory asset requirements, and Return on Equity (ROE).

### DDM Core Assumptions:

- **Cost of Equity ( $K_e$ ):** 18.0% (incorporating systemic asset-rebalancing premiums and local regulatory capital cushions).
- **Target Capital Adequacy Ratio (CAR):** 12.5% structural minimum.
- **Long-Term Sustainable Dividend Growth Rate ( $g_n$ ):** 5.5%.

### 5-Year Earnings and Dividend Forecast (In Billions of ETB)

| Metric                          | FY2026E | FY2027E | FY2028E | FY2029E | FY2030E |
|---------------------------------|---------|---------|---------|---------|---------|
| Net Income                      | 48.0    | 54.7    | 62.1    | 70.2    | 78.6    |
| Target Dividend Payout Ratio    | 40.0%   | 40.0%   | 45.0%   | 45.0%   |         |
| Projected Dividends             | 19.2    | 21.9    | 27.9    | 31.6    | 39.3    |
| Discount Factor (18.0%)         | 0.8475  | 0.7182  | 0.6086  | 0.5158  | 0.4371  |
| Present Value (PV) of Dividends | 16.27   | 15.73   | 16.98   | 16.30   | 17.18   |

### Terminal Valuation Calculation:

The Terminal Price ( $P_{30}$ ) at the end of the high-growth phase is computed via:

$$P_{30} = [\text{Dividends}_{2030} \times (1 + g_r)] / (K_e - g_r)$$

$$P_{30} = [39.3 \times 1.055] / (0.18 - 0.055) = \text{ETB } 331.70 \text{ Billion}$$

- **Sum of PV of Distributable Stage 1 Dividends:** ETB 82.46 Billion
- **PV of Terminal Equity Value:**  $331.70 \times 0.4371 = \text{ETB } 145.00 \text{ Billion}$
- **Total Implied Systemic Equity Value:** ETB 82.46 + ETB 145.00 = **ETB 227.46 Billion**
- **Implied Target Equity Price per Share:** **ETB 310.00**

**Recommendation: HOLD.** While CBE possesses structural asset dominance and systemic protection, short-term net interest margins will experience compression as long-term state enterprise loan books are re-aligned to open-market central banking benchmarks.

# PART III: CROSS-SECTIONAL ANALYSIS & STRATEGIC CONCLUSION

## 1. THE ESX PEER COMPASS

The dual-listing framework of telecom and financial assets on the newly minted Ethiopian Securities Exchange creates immediate structural benchmarks for sector relative valuation.

### Cross-Sectional Market Peer Multiples Matrix

| Valuation Metric / Ratio     | Ethio Telecom (ETEL) | Commercial Bank of Ethiopia (CBEB) | Private Banking Sector Avg. | East African Regional Peer Avg. |
|------------------------------|----------------------|------------------------------------|-----------------------------|---------------------------------|
| Implied Forward P/E Multiple | 8.8x                 | 4.7x                               | 6.2x                        | 10.5x                           |
| EV / EBITDA Multiple         | 4.2x                 | N/A                                | N/A                         | 5.5x                            |
| Return on Equity (ROE)       | 24.5%                | 19.8%                              | 22.0%                       | 26.0%                           |
| Target Dividend Yield        | 3.5%                 | 8.2%                               | 9.0%                        | 6.8%                            |

## 2. STRUCTURAL MACROECONOMIC RISKS

**Foreign Currency Liquidity Alignment:** The transition toward fully market-determined forex pricing structures will clear structural backlogs but might elevate short-term import costs for physical infrastructure expansions.

**Monetary Framework Transmission:** The central bank's shift to using explicit interest rate adjustments instead of arbitrary quantitative credit controls means local corporate cost of capital will fluctuate dynamically based on liquidity.

## 3. INSTITUTIONAL INVESTMENT ALLOCATION DIRECTIVE

**Ethio Telecom (ETEL):** Positioned firmly as an aggressive capital-growth vehicle. Asset managers seeking structural exposure to a secular data-consumption boom, mobile internet penetration, and high-margin, scalable consumer FinTech ecosystems should **OVERWEIGHT** positions at the launch of open public trading.



**Commercial Bank of Ethiopia (CBEB):** Best categorized as a defensive, income-focused anchor allocation asset. It serves well for capital-preservation mandates and yield-seeking institutional portfolios backed by structural systemic significance, though capital appreciation will remain neutral during balance-sheet optimization cycles.

#### **Institutional Disclosure & Certification**

This research report is prepared strictly for institutional asset allocation evaluation. The valuations and metrics are modeled by **Natnael Seyum Haile** based on forward-looking normalized financial statements in alignment with the operational launch of the Ethiopian Securities Exchange (ESX).